Where to Begin With Dad's House and Savings

Three first moves, starting with a list, and what to leave for a professional.

Dad is managing fine, and nothing has happened. You read a little about Medicaid and a parent's home, and came away with more questions than you started with.

Start here. Three moves, in this order, at whatever pace suits your family.

1 Make a list of what Dad owns, and date it

Sit down with Dad and write out what he owns: the house and any other real estate, cash and savings, investments, retirement accounts, insurance and annuities, personal property, any business interest. Round numbers and guesses are fine if you mark them as guesses. Put today's date at the top. Don't sort the list into what would or wouldn't be protected. Medicaid's eligibility rules vary from state to state, so the sorting is for someone who knows Dad's state. [1]

WHY THIS COMES FIRST Every question about the house and the savings starts from what there is. Until there's a list, there is nothing for anyone to answer a question about.

2 Look up whose name is on each thing

Beside each item, write whose name is on it: Dad's alone, Dad's and his spouse's if he's married, Dad's and someone else's, a trust, or “not sure.” Add any named beneficiary you know of. Copy the names from the deed, a statement or the form itself where you can, and leave “not sure” where you can't. The names are worth the trouble: in a joint account, the Consumer Financial Protection Bureau explains, the money is jointly owned. [2]

WHY THIS COMES FIRST Whose name is on a thing is a fact you can look up without deciding anything, and it comes up in most professional conversations about these questions.

3 Write down your questions, and who each one goes to

“Is the house protected?” is usually several questions at once: how care would be paid for, whether Dad might ever qualify for Medicaid, what he might be able to keep, where his things go after him, and estate recovery, which KFF describes as the recovery of certain Medicaid costs after an enrollee dies. Write each of your questions down. If the family has talked about changing something, write that down as a question too. Beside each one, note who you'd ask: your Medicaid planner, an elder law attorney, a licensed financial professional, or “not sure.” [3]

WHY THIS COMES FIRST These questions are related, but they aren't the same question, and they don't all belong to the same person.

What to leave for a professional

- Which of Dad's things would be counted, protected or exposed. That depends on his state and his situation.
- How the house would be treated.
- What estate recovery looks like in his state.
- Whether to add a name to an account, change a deed, give something away, set up a trust or buy a product. Those are legal and financial decisions, and they aren't for this page.
- What it all adds up to. Your list and your questions are what make that conversation a good one.

If someone suggests a change in the meantime

Add it to your questions, with who suggested it and why, and take it to an elder law attorney. The Consumer Financial Protection Bureau's guide for homeowners says to seek advice from legal and tax professionals, because transferring property can have significant financial implications. [4]

What this guide doesn't do

It doesn't say what Dad can keep, how his house or any account would be treated, or whether anything should change. It isn't legal, financial or tax advice. It puts the first three moves in order.

Ready for the next step?

You have a dated list, the names on each thing, and your questions with a name beside each. The planning interview takes it from there: it asks about your family's situation, including the parts you didn't think to write down, and gives you a free planning report you can bring to any conversation about paying for care.

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WHERE THIS COMES FROM

That eligibility rules vary from state to state follows the federal long-term care site. That the money in a joint account is jointly owned, and the advice to seek legal and tax advice about transferring property, follow the Consumer Financial Protection Bureau. The description of estate recovery is KFF's. The order is ours.

1. Administration for Community Living (LongTermCare information), Medicaid
2. Consumer Financial Protection Bureau, Considering a financial caregiver? Know your options (Managing Someone Else's Money)
3. KFF, What is Medicaid Estate Recovery?
4. Consumer Financial Protection Bureau, Leaving your home to children or heirs (Older Americans Housing Guide)